

vision**2**learn

Business and Administration

Hints and Tips

Unit 6



Contents

Section 1 – The purpose of budgets	4
Section 2 – How to develop budgets	5
Section 3 – Managing budgets	6

Hints and Tips Unit 6

The information in this guide will be helpful to you when you are ready to complete your assessment for the following unit:

Unit six: Principles of budgets in a business environment

Section 1 – The purpose of budgets

Q1. Explain the purpose for why budgets are used to manage financial resources.

You must provide reasons why budgets are used to manage financial resources. Think of what a budget is and the different benefits it can bring to an organisation.

Section 2 – How to develop budgets

Q1. Explain the purpose for why it is important to agree the format in which a budget will be presented.

You must provide reasons why a format in which a budget will be presented is agreed. Think about the benefits to the organisation of agreeing on a standardised format.

Q2. Explain the purpose for why you would use estimations when developing a budget and ways of doing so.

Provide reasons why estimations are used when developing a budget. What are the benefits of estimating?

Q3. Explain two methods that can be used in order to identify realistic estimations when developing a budget.

Firstly, provide two examples of methods that can be used to identify realistic estimations. Then, explain how these methods work.

Q4. Explain why it is important to identify the following when preparing a budget.

For each of the points, give reasons why it is important to identify them when preparing a budget.

Q5. Explain how you would identify timescales, priorities and financial resources when preparing a budget.

Provide ways in which you would identify timescales, priorities and financial resources.

Q6. Describe the purpose for negotiating and agreeing a budget.

Write a detailed account of why it is important to negotiate and agree a budget. What are the benefits of agreeing a budget? What would happen if a budget couldn't be agreed? What do budgets allow an organisation to achieve?

Section 3 – Managing budgets

Q1. Why is it important to monitor, control and record income and expenditure?

Provide reasons why it is important to monitor, control and record income and expenditure. What can an organisation achieve by doing this? What are the potential consequences if an organisation fails to do so?

Q2. Complete the table below. First of all, describe two situations where you could be required to make revisions to budgets and / or budget plans and then explain why these revisions may be needed.

Firstly, give an account of two different situations where an organisation could be required to make revisions to budgets and/or budget plans. Then, give reasons why these revisions may be needed. Please make sure you complete all sections of the table.